

In 1960, Donchian began a weekly commodities newsletter that featured his 5- and 20-day moving average trend-following system. His well-known 4-week channel breakout method inspired other great traders like Ed Seykota and Richard Dennis. Dennis taught his Turtle Traders a version of Donchian's channel breakout system, and a number of them went on to become very successful commodity trading advisors.² Seykota also trained a number of highly successful traders, such as Michael Marcus and David Druz, and developed the first large-scale commercial computerized trading system. Jack Schwager said about Seykota in his first *Market Wizards* book, "the accounts Seykota managed have witnessed an absolutely astounding rate of return ... I know of no other trader who has his track record over the same length of time."³ Seykota later launched "Ed's Six Step Program" to help other trend traders.⁴

During the 1970s and 1980s, the torch of momentum investing passed to successful hedge fund managers who were often reticent to talk about their activities. One prominent momentum investor, however, was the outspoken philanthropist and mutual fund manager, Richard Driehaus.

Driehaus began his investment career in 1968. He manages over \$10 billion following a momentum strategy similar to the ones used by Darvas, Chestnutt, and Haller—rotational, relative strength investing using top-performing stocks. In 1970, *Barron's* named Driehaus to its "All Century" team of 25 persons who have been the most influential within the mutual fund industry over the past 100 years. Jack Schwager (2008) featured Driehaus in his book *The New Market Wizards*, as did Peter Tanous (1999) in his book *Investment Gurus*. Here are a few quotes from Driehaus describing his momentum-based approach:

Perhaps the best-known investment paradigm is buy low, sell high. I believe that more money can be made by buying high and selling at even higher prices ... I try to buy stocks that have already had good price moves, that are already making new highs, and that have positive relative strength ... I always look for the best potential performance at the current time. Even if I think that a stock I hold will go higher, if I believe another stock will do significantly better in the interim, I will switch.

Even before serious academic research on momentum began in earnest in the 1990s, it was hard to dismiss the practical value and impressive results of relative strength momentum investing.